SOLVED PRACTICE WORKBOOK

Finance Commission - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Finance Commission - Complete Uncompressed Learning Session

BASIC MCQS / REMEDIATION

Original MCQs - 36 questions

OM1. Constitutional frequency

Article 280 requires the President to constitute a Finance Commission:

A. whenever the GST Council recommends it. B. annually before the Union Budget. C. only after every general election. D. every fifth year or earlier if necessary.

Answer: D.

Explanation: [FACT] Article 280(1) uses a five-year cycle and permits earlier constitution.

OM2. Composition

The constitutional composition is:

A. a Chair and two members. B. the Union Finance Minister and all State Finance Ministers. C. five CAG nominees. D. a Chairman and four other members.

Answer: D.

Explanation: [FACT] Article 280 fixes Chairman plus four other members.

OM3. Detailed qualifications

The detailed qualification categories for Finance Commission members are prescribed primarily by:

A. the Finance Commission (Miscellaneous Provisions) Act, 1951. B. rules made by the CAG. C. GST Council regulations. D. Article 281 itself.

Answer: A.

Explanation: [FACT] Article 280 authorises Parliament; the 1951 Act supplies the detail.

OM4. Chairman qualification

Under the 1951 Act, the Chairman should be a person:

A. possessing only a doctorate in economics. B. with ten years as a State Finance Minister. C. who is a serving Supreme Court judge. D. having experience in public affairs.

Answer: D.

Explanation: [FACT] Public-affairs experience is the statutory Chairman qualification.

OM5. Net proceeds

Which expression best represents Article 279 net proceeds?

A. tax revenue minus all grants. B. gross tax revenue plus borrowings. C. tax proceeds minus collection cost. D. divisible pool plus cesses.

Answer: C.

Explanation: [FACT] Article 279 deducts the cost attributable to collection.

OM6. Final certification

Net proceeds are ascertained and certified finally by:

A. Parliament's Public Accounts Committee. B. Comptroller and Auditor General of India. C. GST Council. D. Finance Secretary.

Answer: B.

Explanation: [FACT] Article 279 gives this final certification function to the CAG.

OM7. Vertical devolution

Vertical devolution determines:

A. the collective State share relative to the Union. B. Union borrowing from States. C. grants among municipalities. D. each district's tax effort.

Answer: A.

Explanation: [FACT] Vertical distribution is Union versus all States.

OM8. Horizontal devolution

Horizontal devolution determines:

A. division of the collective State share among States. B. Union versus States. C. tax versus non-tax revenue. D. revenue versus capital spending.

Answer: A.

Explanation: [FACT] It is the inter se State allocation.

OM9. Divisible pool

Which is included in the conceptual base for Finance Commission tax devolution?

A. every Union cess without exception. B. net proceeds of shareable Union taxes. C. Union market borrowings. D. Article 271 surcharges.

Answer: B.

Explanation: [FACT] The divisible pool is built from constitutionally shareable net tax proceeds.

OM10. Article 271

Article 271 primarily concerns:

A. State Finance Commissions. B. CAG appointment. C. municipal taxation. D. Union surcharges for Union purposes.

Answer: D.

Explanation: [FACT] Such surcharges are outside Article 270 distribution.

OM11. Article 281

Article 281 requires:

A. the recommendations and explanatory action memorandum to be laid before each House. B. a constitutional amendment for every award. C. Supreme Court approval of the award. D. ratification by half the States.

Answer: A.

Explanation: [FACT] Laying plus the explanatory memorandum is the constitutional accountability rule.

OM12. Legal status

Finance Commission recommendations are best described as:

A. binding GST law. B. judicial decrees. C. advisory recommendations with high constitutional and fiscal weight. D. automatically enforceable State debts.

Answer: C.

Explanation: [FACT] They require implementation through appropriate fiscal and legal instruments.

OM13. Grants provision

The constitutional article directly associated with Finance Commission principles for grants-in-aid of State revenues is:

A. Article 324. B. Article 110. C. Article 275. D. Article 32.

Answer: C.

Explanation: [FACT] Article 280(3)(d) refers to grants under Article 275.

OM14. Article 282

Which statement is correct?

A. It abolishes appropriations. B. It permits Union or State grants for any public purpose, subject to constitutional controls. C. Article 282 is identical to Article 275. D. It makes every grant a Finance Commission grant.

Answer: B.

Explanation: [FACT] *Bhim Singh* recognises the breadth of this separate grant power.

OM15. Local-body augmentation

Article 280 requires the national Commission to recommend augmentation measures for Panchayats and Municipalities on the basis of:

A. State Finance Commission recommendations. B. GST compensation data only. C. NITI Aayog rankings. D. District Magistrate reports alone.

Answer: A.

Explanation: [FACT] This wording remains in Article 280(3)(bb) and (a).

OM16. Amendment status

The Sixteenth Commission's proposal to remove the SFC-reference words from Article 280 should presently be written as:

A. an automatic textual deletion. B. a Supreme Court direction. C. a reform proposal requiring constitutional amendment, not current text. D. enforced constitutional law.

Answer: C.

Explanation: [CURRENT] No enacted amendment is frozen in this package.

OM17. Fourteenth Commission

The Fourteenth Finance Commission raised the collective State share from:

A. 41 per cent to 50 per cent. B. 25 per cent to 41 per cent. C. 42 per cent to 45 per cent. D. 32 per cent to 42 per cent.

Answer: D.

Explanation: [FACT] This was the major 2015-20 devolution shift.

OM18. Fifteenth Commission

The Fifteenth Commission's 41 per cent share was primarily explained by:

A. a GST Council veto. B. Jammu and Kashmir's reorganisation and exclusion from the State-share calculation. C. removal of all grants. D. abolition of Article 270.

Answer: B.

Explanation: [FACT] The official report supplies this context.

OM19. Fifteenth formula

The largest horizontal weight under the Fifteenth Commission for 2021-26 was:

A. income distance. B. area. C. population. D. tax effort.

Answer: A.

Explanation: [FACT] Income distance carried 45 per cent.

OM20. Fifteenth effort weight

Tax and fiscal effort under the Fifteenth formula carried:

A. 12.5 per cent. B. 10 per cent. C. 2.5 per cent. D. 5 per cent.

Answer: C.

Explanation: [FACT] The 2.5 per cent criterion rewarded own-tax effort.

OM21. Sixteenth vertical share

The accepted Sixteenth Commission vertical share for 2026-31 is:

A. 45 per cent. B. 42 per cent. C. 41 per cent. D. 50 per cent.

Answer: C.

Explanation: [CURRENT] The Government accepted the recommended 41 per cent.

OM22. Sixteenth largest criterion

The largest Sixteenth Commission horizontal weight is:

A. per-capita GSDP distance. B. population, 2011. C. forest. D. contribution to GDP.

Answer: A.

Explanation: [CURRENT] Per-capita GSDP distance carries 42.5 per cent.

OM23. New Sixteenth criterion

Which criterion appears in the Sixteenth formula but not the Fifteenth formula?

A. area. B. contribution to GDP. C. demographic performance. D. population.

Answer: B.

Explanation: [CURRENT] GDP contribution carries 10 per cent.

OM24. Sixteenth demographic method

Sixteenth Commission demographic performance is based on:

A. current population density. B. life expectancy change. C. current total fertility rate alone. D. inverse population growth between 1971 and 2011.

Answer: D.

Explanation: [CURRENT] Do not carry the Fifteenth TFR-based method forward.

OM25. GDP-contribution transformation

The Sixteenth Commission moderates the GDP-contribution criterion through:

A. a simple winner-takes-all rule. B. an equal share for every State. C. a square-root transformation of State GSDP shares. D. a population-density multiplier.

Answer: C.

Explanation: [CURRENT] The transformation recognises contribution while moderating concentration.

OM26. Revenue-deficit grants

For 2026-31, the Sixteenth Commission:

A. doubled revenue-deficit grants. B. recommended no revenue-deficit grants. C. made them a constitutional right. D. transferred their design to the GST Council.

Answer: B.

Explanation: [CURRENT] It also recommended no sector-specific or State-specific grants.

OM27. Local-body envelope

The Sixteenth Commission's Rs 7,91,493 crore local-body figure is:

A. a State's individual share. B. the five-year recommended award envelope. C. the Union's gross tax revenue. D. one year's actual release.

Answer: B.

Explanation: [CURRENT] Period and category must accompany the figure.

OM28. Government status vocabulary

For the absence of RDG, sector-specific and State-specific grants, the Explanatory Memorandum states that Government:

A. rejected Article 275. B. constitutionally vetoed the Commission. C. took note of the recommendation. D. accepted a positive grant formula.

Answer: C.

Explanation: [CURRENT] “Takes note” must not be silently rewritten as “accepted”.

OM29. Disaster funds

Which pairing is correct for the Sixteenth award period?

A. State disaster funds Rs 2,04,401 crore; national disaster funds Rs 79,406 crore. B. State disaster funds Rs 79,406 crore; national funds Rs 7,91,493 crore. C. no disaster allocation was recommended. D. both exactly Rs 1.4 lakh crore.

Answer: A.

Explanation: [CURRENT] The two five-year envelopes and their levels are distinct.

OM30. State fiscal-deficit baseline

The Sixteenth Commission recommended a State fiscal-deficit ceiling of:

A. 5 per cent of gross tax revenue. B. 3 per cent of GSDP. C. 3.5 per cent of GDP for every State. D. 2 per cent of GSDP.

Answer: B.

Explanation: [CURRENT] Government accepted the State borrowing/deficit path in principle.

OM31. Union fiscal path

The Commission's recommendation to reduce the Union fiscal deficit to 3.5 per cent of GDP by 2030-31 was:

A. struck down judicially. B. accepted as an Article 271 surcharge. C. automatically constitutionalised. D. left for separate examination by Government.

Answer: D.

Explanation: [CURRENT] The Explanatory Memorandum preserves this separate-examination status.

OM32. Cess/surcharge recommendation

Which is the accurate Sixteenth Commission position?

A. It did not recommend inclusion or a numerical cap, but sought transparency. B. It abolished Article 271. C. It imposed a 10 per cent surcharge cap. D. It mandated immediate inclusion of every cess.

Answer: A.

Explanation: [CURRENT] Annual disclosure of CAG-certified net proceeds is the controlled recommendation.

OM33. GST Council comparison

Which distinction is correct?

A. NITI Aayog appoints both. B. Finance Commission redistributes; GST Council coordinates GST recommendations. C. both are periodic judicial tribunals. D. both divide Article 275 grants.

Answer: B.

Explanation: [FACT] Their source, membership and functions differ.

OM34. NITI Aayog comparison

NITI Aayog differs from the Finance Commission because NITI Aayog is:

A. an executive policy institution rather than the constitutional tax-devolution body. B. constituted every fifth year by the President. C. created by Article 280. D. the final certifier of net proceeds.

Answer: A.

Explanation: [FACT] NITI's strategic role does not confer Article 280 distribution functions.

OM35. State Finance Commission

The State Finance Commission principally reviews:

A. Union-State defence expenditure. B. GST rates. C. State-local fiscal relations. D. Article 271 surcharges.

Answer: C.

Explanation: [FACT] Articles 243-I and 243-Y provide the State-local architecture.

OM36. Mohit Minerals

This case is safely used in the present topic to explain:

A. direct binding force of Finance Commission awards. B. member disqualification under the 1951 Act. C. Article 279 CAG certification. D. the recommendatory status of the GST Council in institutional comparison.

Answer: D.

Explanation: [FACT] It is not presented as a direct Article 280 holding.

Remedial MCQs - 12 questions

RM1. Percentage-base trap

"States receive 41 per cent under the Sixteenth Finance Commission" means:

A. 41 per cent of GDP. B. 41 per cent of divisible-pool net proceeds. C. 41 per cent of every cess and surcharge. D. 41 per cent of all Union receipts.

Answer: B.

Explanation: [FACT] Always name the base; otherwise the statement is misleading.

RM2. Timing trap

Which statement corrects "the Finance Commission can be constituted only after five years"?

A. Article 280 permits earlier constitution if the President considers it necessary. B. the CAG fixes the date. C. It is constituted every ten years. D. only Parliament may constitute it early.

Answer: A.

Explanation: [FACT] "Every fifth year or earlier" is exact constitutional language.

RM3. Qualification trap

The statement "Article 280 itself requires one economist and one judge" is:

A. correct only after GST. B. fully correct. C. inaccurate because detailed categories come from the 1951 Act. D. correct only for the Sixteenth Commission.

Answer: C.

Explanation: [FACT] Distinguish constitutional authorisation from statutory detail.

RM4. Binding-status trap

If Government accepts a Finance Commission recommendation, it:

A. becomes a Supreme Court decree. B. must still be implemented through the appropriate fiscal/legal instrument. C. needs no Budget or legal action. D. automatically amends the Constitution.

Answer: B.

Explanation: [FACT] Advisory recommendations are not self-executing commands.

RM5. Forty-two-to-forty-one trap

The best explanation of the Fifteenth Commission's 41 per cent is:

A. a uniform one-point deduction from every State's budget. B. inclusion of all cesses. C. a primary adjustment for Jammu and Kashmir's reorganisation, with State effects depending on the full formula. D. abolition of horizontal devolution.

Answer: C.

Explanation: [FACT] This preserves both the official context and distribution nuance.

RM6. Formula-carry-forward trap

Which criterion was removed as a separate weight from the Fifteenth to the Sixteenth formula?

A. population. B. forest. C. income distance. D. tax and fiscal effort.

Answer: D.

Explanation: [CURRENT] GDP contribution was introduced instead as a distinct 10 per cent criterion.

RM7. Demographic trap

The Sixteenth Commission's demographic-performance criterion should be remembered as:

A. current birth rate only. B. population density. C. 2011 population only. D. inverse population growth from 1971 to 2011.

Answer: D.

Explanation: [CURRENT] This is a major current-affairs distinction from the Fifteenth formula.

RM8. Grant-total trap

Rs 1.4 lakh crore in the 2026-27 Budget Speech and Rs 7,91,493 crore in the FC report:

A. are two descriptions of the same annual release. B. belong to different periods and scopes: first-year grants versus five-year local-body envelope. C. are both gross tax revenue. D. are State X's tax share.

Answer: B.

Explanation: [CURRENT] Never mix an annual Budget provision with an award-period total.

RM9. Cess-reform trap

Which claim is safe?

A. Article 271 was repealed. B. FC-16 abolished every cess. C. all cesses entered the pool in 2026. D. FC-16 sought net-proceeds transparency but did not recommend a cess/surcharge cap.

Answer: D.

Explanation: [CURRENT] Stronger reform proposals may be analysed, but not fabricated as Commission recommendations.

RM10. Local-body amendment trap

The existing Article 280 local-body clauses:

A. no longer mention SFC recommendations. B. transfer all municipal taxes to the Union. C. still mention SFC recommendations; FC-16's deletion idea remains a reform proposal here. D. make the GST Council the SFC.

Answer: C.

Explanation: [CURRENT] Recommendation and enacted amendment must remain distinct.

RM11. SFC identity trap

Which body is constituted by the Governor to review State-local finances?

A. State Finance Commission. B. GST Council. C. Union Finance Commission. D. NITI Aayog.

Answer: A.

Explanation: [FACT] It is rooted in Articles 243-I and 243-Y.

RM12. Case-law trap

Which use of *Bhim Singh v. Union of India* is accurate?

A. It prescribes the horizontal formula. B. It fixes 41 per cent devolution. C. It makes Article 280 awards binding. D. It supports the breadth of Article 282's public-purpose grant power.

Answer: D.

Explanation: [FACT] The case must not be stretched beyond its Article 282 relevance.

PYQS AND ANSWER PRACTICE

Audited PYQ routing note

- [FACT] The local official papers and routing ledgers were searched for Finance Commission, fiscal federalism, Article 280, horizontal devolution, Fourteenth Finance Commission and Fifteenth Finance Commission.
- [FACT] Five relevant demands were verified: 2018 GS-II Q14, 2021 GS-II Q3, 2023 Prelims Q29, 2025 Prelims Q66 and 2025 GS-II Q14.
- [LIMIT] The 2025 GS-II question is principally owned by Centre-State Relations; it is solved here only to show the Finance Commission dimension.
- [LIMIT] A local official key for the 2023 Prelims paper was unavailable. The resolution below is derived from the official Fifteenth Finance Commission formula and is not mislabelled as an official UPSC key.
- [FACT] The official 2025 Set-A key records option C for Q66.

PYQ 1 - UPSC GS-II 2018, Q14 - 15 marks, 250 words

Question: “How is the Finance Commission of India constituted? What do you know about the terms of reference of the recently constituted Finance Commission? Discuss.”

Demand decoding

Part	Required content
how constituted	Article 280, President, timing, Chair + four, Parliament's law
terms of reference	constitutional functions plus additional matters in constituting order
discuss	significance, controversy and balanced qualification

Evidence-led model solution

The Finance Commission is a periodic constitutional body under Article 280 and the balancing mechanism of Indian fiscal federalism. The President constitutes it every fifth year or earlier, if necessary. It consists of a Chairman and four other members. Parliament is authorised to prescribe qualifications and selection; the Finance Commission (Miscellaneous Provisions) Act, 1951 requires public-affairs experience for the Chairman and supplies judicial, government-finance, financial-administration and economics qualification pools for the other members.

Its constitutional reference covers: distribution of net proceeds of shareable taxes between the Union and States; horizontal allocation among States; principles governing Article 275 grants; measures to augment State Consolidated Funds for Panchayats and Municipalities on the basis of State Finance Commission recommendations; and any other presidentially referred matter in the interests of sound finance.

The “recently constituted” Commission in the question's temporal setting was the Fifteenth Finance Commission. Its order required review of Union and State finances, tax devolution and grants, local-body augmentation, fiscal consolidation and debt, while considering contemporary policy changes and expenditure demands. Such additional terms can broaden analysis but cannot displace Article 280's constitutional core.

The Commission must balance State autonomy and equalisation with Union responsibilities and macroeconomic stability. Its recommendations are advisory, but Article 281 requires the report and an explanatory action memorandum to be laid before Parliament. Thus, technical expertise is joined with political accountability rather than judicial enforceability.

PYQ 2 - UPSC GS-II 2021, Q3 - 10 marks, 150 words

Question: “How have the recommendations of the 14th Finance Commission of India enabled the States to improve their fiscal position?”

Evidence-led model solution

The Fourteenth Finance Commission strengthened State fiscal capacity mainly by raising their collective share in the divisible pool from 32 to 42 per cent for 2015-20.

First, the shift enlarged predictable, formula-based and relatively untied transfers, allowing States to align expenditure with local priorities rather than depend excessively on discretionary or scheme-specific support. Second, a larger tax share allowed States to benefit from Union-tax buoyancy and improved medium-term budgeting. Third, greater general-purpose resources supported constitutionally assigned services such as health, education, agriculture and local infrastructure. Fourth, the move complemented the end of the Planning Commission and increased State responsibility for expenditure choices.

However, the fiscal effect was not equal for every State and cannot be read from the headline percentage alone. It depended on each State's horizontal share, actual Union tax collection, changes in grants and centrally sponsored schemes, own-tax effort, debt and expenditure pressures.

Therefore, the Fourteenth Commission improved autonomy and predictable fiscal space, while simultaneously demanding stronger State-level revenue mobilisation, budgeting and accountability.

PYQ 3 - UPSC Prelims 2023, Q29

Question: Consider the following:

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts

For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population, area and income distance?

A. Only two B. Only three C. Only four D. All five

Controlled resolution

[FACT] The official Fifteenth Finance Commission formula used demographic performance, forest and ecology, and tax and fiscal effort in addition to population, area and income distance.

[FACT] Governance reforms and stable government were not horizontal-devolution criteria.

[ANALYSIS] Therefore, three listed items - 1, 2 and 5 - qualify, corresponding to option B in the official paper.

[LIMIT] This is an evidence-based resolution from the official Commission report. A local official UPSC key for this paper was unavailable, so no official-key attribution is made.

PYQ 4 - UPSC Prelims 2025, Q66

Question: Which of the following statements with regard to recommendations of the 15th Finance Commission of India are correct?

I. It has recommended grants of Rs 4,800 crores from the year 2022-23 to the year 2025-26 for incentivizing States to enhance educational outcomes. II. 45% of the net proceeds of Union taxes are to be shared with States. III. Rs 45,000 crores are to be kept as performance-based incentive for all States for carrying out agricultural reforms. IV. It reintroduced tax effort criteria to reward fiscal performance.

A. I, II and III B. I, II and IV C. I, III and IV D. II, III and IV

Official-key-controlled solution

[FACT] Statement I is correct: the Fifteenth Commission recommended the specified educational-outcomes incentive grant.

[FACT] Statement II is incorrect: the collective State share was 41 per cent, not 45 per cent, of divisible-pool net proceeds.

[FACT] Statement III is correct: the report provided the stated performance-linked agricultural-reform incentive envelope.

[FACT] Statement IV is correct: tax and fiscal effort had a 2.5 per cent horizontal weight.

[FACT] Correct combination: I, III and IV. The official UPSC Set-A key records **C**.

PYQ 5 - UPSC GS-II 2025, Q14 - 15 marks, 250 words

Question: “Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?”

Evidence-led routed model solution

Centre-State financial relations have evolved from plan-led discretionary coordination toward a more rule-based but still mixed transfer system.

During planned development, the Planning Commission influenced plan assistance and centrally designed programmes, while the Finance Commission addressed non-plan revenue gaps, tax sharing and grants. The division created overlapping channels and often increased State dependence on Union approval. Article 282 grants and centrally sponsored schemes expanded the discretionary component beyond the Finance Commission's constitutional transfers.

Recent reforms changed this pattern. The Fourteenth Finance Commission raised vertical devolution from 32 to 42 per cent, enlarging untied State resources. The Planning Commission was replaced by NITI Aayog, and plan/non-plan expenditure classification ended. The Fifteenth Commission fixed 41 per cent, primarily adjusting for Jammu and Kashmir's reorganisation, while retaining a multi-criterion equalisation formula. GST created a permanent intergovernmental Council, though it also pooled important indirect-tax autonomy. The Sixteenth Commission retained 41 per cent for 2026-31, revised the horizontal formula, and strengthened local-body, disaster and fiscal-transparency recommendations.

The impact is substantial but incomplete. Predictable devolution supports autonomy and equalisation; GST coordination and Article 281 disclosure improve cooperative processes. Yet cesses and surcharges narrow the divisible base, conditional schemes constrain flexibility, SFC delays weaken local finance, and off-budget liabilities obscure fiscal risks.

Fiscal federalism has therefore become more formula-based and consultative, but reform must now align the divisible pool, CSS design, whole-government debt reporting, timely SFCs and transparent data with States' expenditure responsibilities.

Original solved Mains practice - 8 questions

Original Solved Mains 1 - 10 marks, 150 words

Question: Distinguish vertical and horizontal fiscal imbalance. How does the Finance Commission address both?

Model solution

Vertical fiscal imbalance is the mismatch between the revenue powers and expenditure responsibilities of the Union and all States collectively. Horizontal imbalance is the difference among States in revenue capacity, population, income, geography, ecology and service-delivery cost.

Article 280(3)(a) addresses both in sequence. First, the Finance Commission recommends the collective State share in the net proceeds of shareable Union taxes - vertical devolution. The Sixteenth Commission retained this at 41 per cent of the divisible pool for 2026-31. Second, it allocates that collective share among States through a weighted formula - horizontal devolution. The current formula combines per-capita GSDP distance, population, demographic performance, area, forest and contribution to GDP.

Grants under Article 275 and local-body/disaster recommendations address needs that the general formula may not fully capture.

The framework promotes equalisation and autonomy, but outcomes depend on the size of the divisible pool, tax buoyancy, grants, centrally sponsored schemes and State fiscal effort. Thus, the Commission corrects both imbalances through a layered, not a single-percentage, settlement.

Original Solved Mains 2 - 10 marks, 150 words

Question: Explain why Finance Commission recommendations are advisory yet constitutionally weighty.

Model solution

Finance Commission recommendations are advisory because Article 280 does not make them self-executing judicial commands or create an automatic legal debt in favour of a State. Accepted recommendations require implementation through Presidential orders, the Union Budget, appropriations, statutes or grant guidelines, as applicable.

They are nevertheless constitutionally weighty. First, the Commission has constitutional origin, periodicity and an expert composition. Second, it conducts nationwide fiscal consultation and supplies a transparent, reasoned formula. Third, Article 281 requires the President to lay the recommendations and an explanatory memorandum on action taken before both Houses of Parliament. Fourth, devolution materially structures State fiscal space, making unexplained departure politically and fiscally costly.

Therefore, “advisory” describes legal form, not institutional insignificance. The correct balance is that elected governments retain implementation responsibility while constitutional publicity, expert reasoning and federal expectations discipline that choice.

Original Solved Mains 3 - 15 marks, 250 words

Question: Examine the constitutional mechanics of India's divisible pool and explain why cesses and surcharges generate federal controversy.

Model solution

The divisible pool is not Union gross tax revenue. Under Article 270, specified Union taxes are distributed between the Union and States. Article 279 defines net proceeds as tax proceeds minus collection costs and makes the CAG's ascertainment and certification final. Article 271 surcharges for Union purposes and applicable specific-purpose cesses lie outside the shareable pool. The Finance Commission first recommends the collective State percentage and then each State's horizontal share.

This design produces a federal controversy when excluded levies grow faster than shareable taxes. Even if gross tax revenue rises, the base to which the accepted 41 per cent applies may grow more slowly. States therefore argue that a larger cess/surcharge component weakens the spirit of tax sharing and reduces predictable untied resources. The Union counters that such levies finance national or earmarked priorities and that it retains defence, debt, macro-stabilisation and national-transfer responsibilities.

The Sixteenth Finance Commission did not recommend automatic inclusion or a numerical cap. It instead sought annual transparency through disclosure of CAG-certified net proceeds and discussed the possibility of a wider fiscal bargain.

Reform should combine transparent reconciliation of gross and net proceeds, regular review and sunset discipline for earmarked levies, rationalised centrally sponsored schemes and a negotiated assessment of Union and State expenditure responsibilities. The aim is not mechanical maximisation of one level's share, but a credible shareable base supporting both State autonomy and national fiscal capacity.

Original Solved Mains 4 - 15 marks, 250 words

Question: Compare the Fifteenth and Sixteenth Finance Commission horizontal-devolution formulas. What federal values do the changes reveal?

Model solution

The Fifteenth Commission's 2021-26 formula assigned 45 per cent to income distance, 15 each to 2011 population and area, 12.5 to demographic performance, 10 to forest and ecology and 2.5 to tax and fiscal effort.

The Sixteenth Commission's 2026-31 formula, accepted by the Union, assigns 42.5 per cent to per-capita GSDP distance, 17.5 to 2011 population and 10 each to demographic performance, area, forest and contribution to GDP. Tax/fiscal effort disappears as a separate weight; GDP contribution enters. Demographic performance also changes method: it uses inverse population growth between 1971 and 2011 rather than the Fifteenth Commission's TFR-linked approach. GDP contribution is moderated by a square-root transformation.

Continuity remains strong: equalisation through income distance is still dominant, while population, geography and ecology remain recognised. The changes, however, make contribution more visible and modestly reduce the combined weight of distance, area and demographic performance. This reflects an attempt to reconcile poorer States' expenditure needs with producing States' demand that contribution and efficiency receive recognition.

The formula cannot eliminate distributive conflict. Richer States may still consider equalisation excessive; lower-income States may fear that contribution rewards inherited advantage. The proper test is whether the package enables comparable basic services while preserving incentives, ecological compensation and macro stability.

Transparent data and reasoned methodology are therefore as important as the numerical weights.

Original Solved Mains 5 - 15 marks, 250 words

Question: Assess the Finance Commission's role in strengthening local self-government. Why are State Finance Commissions indispensable?

Model solution

The Seventy-third and Seventy-fourth Amendment architecture places local finance within a two-tier commission chain. Articles 243-I and 243-Y require State Finance Commissions to review Panchayat and Municipal finances. Article 280(3)(bb) and (c) requires the Union Finance Commission to recommend measures augmenting State Consolidated Funds for local bodies on the basis of SFC recommendations.

Union Finance Commission grants provide scale, national minimum incentives and support for basic services, accounts and revenue improvement. The Sixteenth Commission recommended Rs 7,91,493 crore for local bodies over 2026-31, with the detailed design accepted by the Union. It emphasises timely SFCs, audited accounts, reporting and own-source revenue.

Yet the national Commission cannot replace SFCs. Local tax bases, assigned functions, service costs and devolution laws are State-specific. Delayed SFCs, weak data, non-implementation and untimely onward transfer break the constitutional evidence chain and reduce grants to compliance exercises.

The Sixteenth Commission proposed removing the explicit SFC-reference words from Article 280, but this remains a proposed constitutional amendment in this package, not enacted text. Even if the wording changes, strong SFCs remain substantively necessary.

Reform requires regular SFC constitution, common accounts, public action-taken reports, predictable State-local transfers, stronger own revenues and outcome audits. Local fiscal federalism succeeds only when funds, functions and functionaries move together.

Original Solved Mains 6 - 20 marks, 250 words

Question: “The Sixteenth Finance Commission combines continuity in vertical devolution with innovation in horizontal distribution.” Discuss, with reference to grants and fiscal roadmap.

Model solution

The Sixteenth Finance Commission covers 2026-27 to 2030-31. Its central continuity is retention of a 41 per cent collective State share in divisible-pool net proceeds, accepted by the Union. This preserves the Fifteenth Commission's vertical balance rather than reopening the headline Union-State split.

Innovation is clearer horizontally. The accepted formula gives 42.5 per cent to per-capita GSDP distance, 17.5 to 2011 population and 10 each to area, forest, demographic performance and contribution to GDP. The last is a new criterion, moderated through a square-root transformation. Demographic performance now uses inverse population growth during 1971-2011. Thus, equalisation remains dominant, but contribution and a revised demographic logic reshape distribution.

The grant structure is selective. The Commission recommended no revenue-deficit, sector-specific or State-specific grants; Government took note. It recommended Rs 7,91,493 crore for local bodies, Rs 2,04,401 crore for State disaster funds and Rs 79,406 crore for national disaster funds, with those designs accepted. These are five-year envelopes, not annual releases.

Its fiscal roadmap proposes a 3 per cent GSDP State deficit ceiling and linked borrowing limits, accepted in principle. Union-deficit, off-budget borrowing and fiscal-law reforms remain for separate examination. It did not recommend a cess/surcharge cap, preferring transparency.

The award therefore combines stability, equalisation and selected performance recognition. Its success depends on tax buoyancy, grant guidelines, timely SFCs, transparent net proceeds and faithful implementation rather than headline percentages alone.

Original Solved Mains 7 - 20 marks, 250 words

Question: Critically analyse whether a permanent Finance Commission would improve Indian fiscal federalism.

Model solution

Article 280 envisages a Finance Commission every fifth year or earlier, allowing each award to respond to changing fiscal conditions through an independently constituted expert body. A proposal for permanence must therefore distinguish a permanent **support institution** from replacing periodic constitutional Commissions.

A permanent secretariat offers clear benefits. It can preserve institutional memory, maintain comparable Union-State-local datasets, monitor implementation, assist State Finance Commissions, reconcile CAG-certified net proceeds and undertake continuous research on debt, climate and service costs. This would reduce start-up delays and improve transparency.

However, a permanent decision-making Commission could weaken periodic reconstitution, entrench methodology, create bureaucratic path dependence and blur accountability between one award and the next. Continuous monitoring could also become intrusive if it substitutes for State autonomy or parliamentary financial control.

The better reform is a lean, professionally independent secretariat or fiscal council-type research platform serving each newly constituted Commission. Its datasets, methods and implementation reports should be public; each Commission must retain authority to choose its normative assumptions, formula and recommendations after federal consultation.

Permanence should thus attach to knowledge, not to unreviewable distributive power. India needs continuous evidence and institutional memory alongside periodic constitutional judgment. Such a design would preserve Article 280's adaptability while making fiscal-federal bargaining more informed, transparent and credible.

Original Solved Mains 8 - 20 marks, 250 words

Question: Fiscal federalism must reconcile State autonomy, horizontal equity and macroeconomic stability. Suggest a reform framework for future Finance Commissions.

Model solution

Future Finance Commissions should treat fiscal federalism as a three-objective compact rather than a contest over one percentage.

First, strengthen autonomy. Preserve a large, predictable and untied tax-devolution channel; rationalise centrally sponsored schemes; publish stable release calendars; and ensure that cesses and surcharges do not obscure the relationship between gross tax revenue and the divisible pool.

Second, deepen equalisation. Retain a dominant need/capacity criterion, but improve measures of service-delivery cost, urbanisation, ecology and climate risk. Population and demographic performance should be methodologically transparent. Contribution or effort weights should reward behaviour without overwhelming poorer States' basic-service needs.

Third, secure macro stability. Adopt consistent Union-State debt definitions, disclose off-budget liabilities, link borrowing ceilings to credible medium-term paths and protect high-quality capital expenditure. Escape clauses should be rule-based for shocks.

Fourth, repair local finance. Ensure timely State Finance Commissions, common municipal and Panchayat accounts, public action-taken reports and stronger own-source revenue. National grants should complement, not replace, State-local devolution.

Fifth, build institutions. A permanent technical secretariat can maintain data and memory, while each periodic Commission retains normative independence. Article 281 memoranda should use standard status labels - accepted, noted, in principle or separately examined - followed by implementation dashboards and audit.

The objective is cooperative but accountable federalism: comparable basic services across India, meaningful State choice and sufficient Union capacity for national public goods and stabilisation.